

Alembic Glass Industries Ltd vs Union Of India And Ors. on 1 January, 1800

Equivalent citations: 1979(4)ELT461(KAR)

JUDGMENT

1. These are two writ petitions under Article 226 of the Constitution, preferred by the common petitioner Alembic Glass Industries Ltd. (with we will coll "The Company"), challenging the levy and collection of excise duty on the value of the material used for packing the glass and glassware manufactured and sold by the Company.

2. Shortly, stated, the facts are these :-

The Company which is incorporated under the Companies Act, having its registered office at Alembic Road, Baroda, carries on the business of manufacture and sale of glassware in its factory at Whitefield, Bangalore. Glass and Glassware are chargeable with ad valorem duty of fifteen percent as specified under Item 23A of the First Schedule to the Central Excises and Salt Act, 1944 (hereinafter referred to as "the Act"). The duty is paid at the said rate on the wholesale price of the articles, as per its price list approved in advance by the excise authorities. For the period 1-3-1968, the Company paid duty on the articles manufactured by it as and when they were released for sale under permits issued by the authorities under the Act. On 31-1-1968, the Assistant Collector of Central Excise demanded a sum of Rs. 19,889.93 of which according to him represents fifteen per cent duty payable by the company for the period 1-3-1966 to 31-1-1968, on the packing charges of the bottles sold to its customers.

The Company objected to the said demand on the ground that the packing charges incurred by it do not form part of the price of the excisable articles sold any nor is duty leviable on 'packing charges'. The Assistant Collector by his order dated 26-6-1968 confirmed the said demand which was also affirmed by the Collector of Central Excise in an appeal preferred by the Company. Aggrieved by the decision of the authorities, the company has preferred Writ Petition No. 548 of 1970, praying for an order quashing the demand for payment of Rs. 19,889.93.

3. To understand the controversy in question, we must explain what the Company does. The Company manufactures glass containers and bottles of various sizes as per the needs of its customers who are mostly manufacturers of liquors, pharmaceuticals, toiletries, oils, chemicals and milk products. These containers are sometimes purchased in unpacked condition but more often, the buyers require them to be packed and despatched to them. In one, the bottles are packed in grass and gunny; and in the other, cardboard or grey board cartons are used for packing. The type of packing depends on the customer's instructions. Usually, the pharmaceutical manufacturers want the bottles in cartons

packing. The Company does not manufacture the packing materials but buyers get them from other dealers. The customers who buy the bottles in glass and gunny packing, are not charged anything extra for packing but those who insist on cartons packing, are charged the actual cost of the packing materials. Even this is not charged if the buyers themselves supply the cartons for packing. In paragraph (8) of the affidavit, in support of Writ Petition No. 3436 of 1970, it is stated that Messrs. Orient Pharma (p) Ltd., and Messrs. Sri Balaji and Sons, Bombay, supply the cartons packing at their cost and all that the Company does is to put the bottles in those cartons packing. The said buyers are not charged anything extra towards the packing as the Company does not incur any expenditure on that packing. But the authorities under the Act. are insisting that even in such cases, the company should notionally work out the packing charges on the basis that the said packing materials had been purchased and used by the company at its cost. The excise duty is levied and collected on the wholesale price of the bottles and the packing charges. Up to June, 1968, the approved price list did not mention the packing charges it was separately shown in the invoices. From June, 1968, the Company was forced to include the packing charges in the price list of its articles. A specimen copy of such price list approved by the excise authorities in Annexure (1) to Writ Petition No. 3436 of 1970 wherein the packing charges are separately shown as Rs. 32 per thousand bottles. The same is also separately shown in the invoice prepared by the Company as seen from Annexure (3) to the said Writ petition.

4. The real question that falls to be determined is whether the demand and collection of excise duty on packing charges of glass and glassware is authorised under the Act.

5. The impugned levy is sought to be supported on behalf of the respondents on the following two grounds :-

(i) packing is process incidental or ancillary to the completion of manufactured glass containers : and

(ii) the assessable value of the glass containers must include their packing charges under Section 4 of the Act.

6. The first ground need not trouble us much. The assessing authorities have not dealt with this question specifically. All that the Assistant Collector has stated in his order dated 8-7-1968 is that the bottles in question are in a packed condition at the time of the removal from the bonded house and therefore the goods cannot be said to be complete manufactured products without packing. It is further stated that some of the pharmaceutical concern insist on the bottles being packed in carton packing. No other reason has been given either by the Assistant Collector or by the Collector of Central Excise. The mere fact that the bottles are released in a packed condition, does not indicate that packing is a process incidental to the completion of the manufactured bottles.

7. The learned Advocate-General placed before us some samples of carton packed and ordinary bottles. In the case of carton packing, all that is done is that the bottles are kept in cardboard boxes with cardboard partitions which act as cushions preventing breakage. Reference was also made to books on glass technology to show that packing is neither a part nor incidental to manufacture of

bottles. No material is placed before us by the learned Central Government Pleader to support his contention that carton packing forms part of the process of manufacture of bottles. The orders of the Assistant collector and the collector of Central Excise give no reason for coming to the conclusion that packing is a process incidental or ancillary to the manufacture of bottles. Their conclusion, therefore, is wholly arbitrary and cannot be supported. In our judgment, packing is not incidental ancillary to the process of manufacture of bottles.

8. In order to appreciate the second contention, it is necessary to bear in mind that the Act by Section 3 levies duties of excise on all excisable goods which are produced or manufactured in India, at the rates set forth in the first Schedule. The expression 'excisable goods' has been defined in section 2(d) to mean goods specified in the First Schedule as being subject to a duty of excise. The rate of duty is of two kinds :-

(a) specific or

(b) ad valorem.

9. Where a duty is ad valorem, Section 4 provides for determination of the value of the excisable article for the purpose of computation of duty. "Glass and Glassware" which we are concerned are excisable goods chargeable with duty at a rate depending upon the value of the articles. According to Section 4, such value shall be deemed to be the wholesale cash price for which an article of the like kind and quality is sold or is capable of being sold at the time of the removal of the article chargeable with duty from the factory or any other premises of manufacture. The value of the excisable article, therefore, is the wholesale cash price for which an article of a like kind and quality is sold or is capable of being sold at the time of the removal of the article chargeable with duty from the factory or any other premises of manufacture. From the material placed before us, it is clear that bottles are capable of being sold at the time of removal from the factory without cardboard or carton packing and that in fact that company sells the bottles in such condition. For the purpose of determination of value under Section 4, the authorities under the Act are entitled to take into consideration only the wholesale cash price for which the bottles are sold or are capable of being sold at the time of the removal from the factory or any other premises of manufacture and they cannot take into account the value of packing material which are not excisable articles and on which no duty is levied under the Act. Therefore, the inclusion of the value of packing material in the valuation of the excisable articles is clearly illegal and without jurisdiction. We have earlier held that the wholesale price of the bottles whether sold to one or the other customer, remains the same and the extra charges collected by the company are only towards the expenses incurred by it for packing the bottles and that depends upon the instructions of the particular customer.

10. The price list of the article approved by the authorities, does not show that its wholesale price is inclusive of the packing charges. That is separately shown during the disputed period at the insistence of the authorities as they refused to clear that articles from the bonded house. It is always shown separately in the invoices of the company. In our judgment, the demand and collection of duty of excise on the packing charges of the bottles is wholly unauthorised.

11. In the result, we allow both the petition No. 548 of 1970, we issue a writ in the nature of certiorari quashing the orders dated 24-1-1970 (Annexure I) and 26-6-1968 (Annexure II) made by the respondents 2 and 3 further issue an order directing them not to enforce the demand against the petitioner for payment of Rs. 19,889.93 P. by way of differential duty for the period from 1-2-1966 to 31-1-1968.

12. In writ petition No. 3436 of 1970, we think it is not appropriate to grant the relief prayed for in the petition. The assessing authority under the Act has to re-assess the value of the glass containers released from the bonded house in light of this order for the period in question and then refund the excess amount already collected from the petitioner. We, therefore, issue an order directing the second respondent to cause the reassessment of the duty payable on the excisable articles in question made for the period covered by this writ petition in the light of this order without taking into account the packing charges and refund the excess amount, if any, collected from the petitioner.

13. The petitioner is entitled to its costs. Advocates fee Rs. 250 one set.